

Tab 1

DEFINITIONS

For the purposes of this Constitution, the following terms shall have the meanings assigned to them below. These definitions shall apply throughout this document and shall be binding on all members:

1. SACCO

Refers to **LIFE-LONG UNITY CAPITAL GROUP**, including its members, funds, rules, systems, and all financial activities conducted under this constitution.

2. Member

Refers to any individual who has been formally admitted into the SACCO, has met all membership requirements, and has agreed to be bound by this constitution.

3. Contribution

Refers to the **mandatory financial payment** required from each member within a specified period as part of participation in the SACCO.

4. Contribution Structure

Refers to the agreed payment schedule:

- Month 1: KES 2000
 - Month 2–3: KES 1000 per month
 - Thereafter: KES 1500 per month
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5. Contribution Cycle

Refers to the ongoing monthly financial obligation of members as defined in the contribution structure.

6. Due Date

Refers to the **last calendar day of each month**, by which all contributions must be fully paid.

7. Grace Period

Refers to the limited extension granted after the due date:

- First 3 months: **2 weeks**
- After 3 months: **1 week only**

After this period, penalties automatically apply.

8. Payment

Refers to any amount of money paid by a member toward contributions, loans, penalties, or any SACCO obligation.

9. Partial Payment

Refers to any payment made that is less than the required full contribution for a given period.

10. Outstanding Balance

Refers to any unpaid amount owed by a member, including contributions, penalties, or loan repayments.

11. Overpayment / Credit Balance

Refers to any amount paid in excess of required contributions, which shall be recorded and may be applied to future obligations.

12. Personal Savings

Refers to the accumulated contributions made by a member, which form part of their individual financial stake within the SACCO.

13. Capital

Refers to the total pooled funds contributed by all members for the purpose of growth, lending, and financial stability.

14. Pledge

Refers to a formal request made by a member to delay payment of their contribution under approved conditions.

15. Pledge Fee

Refers to a fixed, non-refundable amount of **KES 100** paid when making a pledge request.

16. Pledge Period

Refers to the maximum duration of **seven (7) days** within which a pledged balance must be cleared.

17. Overdue

Refers to the status assigned to any member who fails to meet their financial obligations within the due date or grace/pledge period.

18. Penalty

Refers to the fixed late payment charge of **KES 500**, applied after the grace period expires.

19. Loan

Refers to any amount of money issued to a member from SACCO funds with a binding obligation to repay within an agreed period.

20. Loan Repayment Period

Refers to the agreed timeframe within which a loan must be fully repaid.

21. Loan Default

Refers to the failure by a member to repay a loan within the agreed repayment period.

22. Defaulter

Refers to any member who:

- Fails to pay contributions
 - Fails to honor a pledge
 - Fails to repay a loan
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23. High-Risk Defaulter

Refers to a member who:

- Becomes unreachable
 - Avoids communication
 - Intentionally evades repayment
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24. Guarantor

Refers to a person (preferably a **parent or guardian**) who agrees to take responsibility in the event a member defaults on their financial obligations.

25. Fraud

Refers to any intentional act of deception, including:

- False payment claims
 - Misrepresentation of transactions
 - Unauthorized use of SACCO funds
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26. Recovery Action

Refers to all measures taken by the SACCO to recover funds, including internal enforcement and legal action.

27. Suspension

Refers to the temporary restriction of a member's rights, including access to loans and benefits.

28. Termination

Refers to the permanent removal of a member from the SACCO due to violation of this constitution.

29. System

Refers to any digital or manual system used to manage SACCO operations, including tracking contributions, loans, and balances.

30. Notification

Refers to any communication sent to members, including reminders, alerts, or updates via SMS, WhatsApp, or other platforms.

31. Recovery Process

Refers to the structured steps taken to recover funds from a defaulter, including:

- Member follow-up
 - Guarantor involvement
 - Legal escalation
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32. Legal Action

Refers to formal proceedings initiated through lawful channels to recover SACCO funds from a defaulting member.

Tab 2

CHAMA CONSTITUTION

1. NAME OF THE CHAMA

The name of the group shall be: LIFE-LONG UNITY CAPITAL GROUP.

2. OBJECTIVES

The objectives of the Chama are:

To promote a savings culture among members

To pool financial resources for investment

To provide financial support to members where applicable

To grow wealth collectively through disciplined contributions

3. MEMBERSHIP

Membership shall consist of a maximum of 15 members

New members must be approved by at least 75% of existing members

Each member must commit to all rules and sign this constitution

4. LEADERSHIP STRUCTURE

The group shall have the following officials:

Chairman – Oversees meetings and decision-making

Treasurer – Manages finances and records all transactions

Secretary – Records minutes and maintains documentation

Auditor- Oversees the Treasurer and Secretary
Disciplinary

Term of Office

Leaders shall serve for a term of 1 year, after which an election will be done

Leaders can be re-elected or replaced by majority based on various factors that will be considered.

5. CONTRIBUTIONS

Month 1: Each member shall contribute KES 2,000

The first 1000 is registration /Membership fee which is nonrefundable. The remaining KES 1000 will be monthly Contribution.

From Month 2 onwards: Each member shall contribute KES 1,000 monthly

Contributions must be made by the 5th day of each month

A fine of 10% of the monthly Contribution will be applied incase of late payment.

First Month Rule

No loans or withdrawals are allowed during the first month to build capital

No compromise on contributions of the first month.

Late Payments

Late payment penalty: 10% of agreed monthly Contributions

Failure to pay for 2 consecutive periods may lead to suspension or removal

6. MANAGEMENT OF FUNDS

All funds shall be deposited in our Chama bank account or secure treasurers mobile number.

The accounts shall have at least 2 signatories

No single member shall withdraw funds alone

7. UTILIZATION OF FUNDS

Funds may be used for:

Loans to members (from Month 3 onwards)

Group investments

Emergency support

Loans

Loan limit: A loan limit of 50% of the total contributions will be Given at a Go.

Interest rate: 8% of Loan

Repayment period: _____

Late repayment penalty: KES 10%

8. MEETINGS

Meetings shall be held after every two weeks

Attendance is mandatory

Absence without valid reason attracts a penalty of KES 500

9. RECORD KEEPING

All financial records must be documented and shared with members

For proper book keeping, all necessary information must be updated after every meeting

Minutes of meetings must be recorded and approved by the secretary

10. WITHDRAWAL / EXIT

A member wishing to exit must give 30 days notice

Refunds shall be processed after clearing all obligations

The refunds will be done minus a 5% deduction of your total deposit.

Exit terms shall be guided by group agreement

11. DISCIPLINE & CONDUCT

Members must act with honesty and integrity

Misconduct, fraud, or consistent failure to comply may lead to removal

Decisions shall be made by majority vote

12. DISPUTE RESOLUTION

Disputes shall first be resolved internally through discussion

If unresolved, a vote shall be taken by members

13. AMENDMENTS

This constitution may be amended by at least 75% agreement of members

14. ADOPTION

We, the undersigned members, agree to abide by this constitution:

Name: _____ Signature: _____

Date: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

CHAIRMAN SIGNATURE

Name: _____ Signature: _____ Date: _____